MONEYRULES SERIES

Wealth Roadmap

Age-Appropriate Financial Moves for Every Decade

What to prioritise in your 20s, 30s, 40s, 50s and 60s
— and what to stop worrying about.

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Introduction — Different Decades, Different Priorities

Financial advice is often generic — "max your ISA!", "build an emergency fund!" — but the right move at 25 is dangerous at 55, and vice versa. This guide walks through each decade, covering what matters most, what to ignore, and the biggest mistakes specific to that age.

> ***Right strategy + right decade = compounding.***
> ***Right strategy + wrong decade = wasted time.***

Your 20s — Build the Foundation

Priority: HABITS over returns

Your 20s are NOT about getting rich quick. They're about building the habits and assets that compound silently for 40 years. Pay off high-interest debt, build your first £1,000 emergency fund, start any pension to claim employer match, begin investing £50-200/month in a global index fund ISA. The habit matters infinitely more than the amount.

Common Mistakes

- Buying a new car on finance
- Investing in individual stocks or crypto instead of index funds
- Not claiming employer pension match — literally free money

Your 30s — Capital + Real Estate

Priority: CAPITAL accumulation

Your income should be growing meaningfully. Priorities shift to: 3-6 month emergency fund (now fully funded), first property (not necessarily a forever home), aggressive ISA + pension contributions, critical illness + life insurance if you have dependants. This is also when lifestyle creep quietly destroys most people — keep living below your rising income.

Common Mistakes

- Upgrading lifestyle as income grows
- Ignoring critical illness insurance
- Buying "too much house" that locks in every £

Your 40s — Peak Earnings Decade

Priority: SERIOUS acceleration

For most people, 40s = peak earning years. This is when compound interest starts working visibly. Max your ISA (£20k) every year, seriously top up your pension (especially if higher-rate taxpayer — 40% relief). Review every insurance policy. Start thinking about kids' university costs + parents' care. Consider a second property or an income-producing asset.

Common Mistakes

- Trying to help grown children financially before yourself
- Ignoring will / estate planning
- Chasing high-risk "catch-up" investments if you feel behind

Your 50s — Consolidation & Clarity

Priority: DE-RISKING + legacy

The finish line is finally visible. Reduce portfolio volatility gradually — shift some equities into bonds and cash. Clear all debt including mortgage if possible. Get will, LPA, and pension nominations water-tight. Consider the "bucket strategy": 2 yrs cash, 5 yrs bonds, rest in equities. Begin conversations with adult children about inheritance and care preferences.

Common Mistakes

- Staying 100% equities 5 years before retirement
- Neglecting tax-efficient withdrawal planning
- Assuming state pension will be enough

Your 60s — Decumulation & Joy

Priority: INCOME generation + lifestyle

The investing game changes completely. Instead of accumulating, you're drawing down. Decide: annuity for safety, drawdown for flexibility, or a mix. Use ISA for flexible income (tax-free withdrawals), pension for tax-efficient main income (25% tax-free lump sum + taxed withdrawals). Travel, invest in health, and spend more than you think you "need" — you can't take it with you.

Common Mistakes

- Drawing down pension too fast in the first 5 years
- Ignoring inflation protection in annuity choice
- Being too frugal — "final decade syndrome"

Your Next 90 Days (Whatever Your Decade)

1. Day 1: Identify your decade and the TWO top priorities above.
2. Day 2-7: Fix anything critical (missed insurance, unclaimed pension match).
3. Week 2-4: Review your ISA/SIPP contributions — are they in line with your decade?
4. Month 2: Update your will, LPA, and pension nominations.
5. Month 3: Set automated increases on all long-term contributions by 5%.

Thank you for reading.

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